

I did.

When did you trade futures?

We began the research project in 2006, and launched the trading program in late 2007. It was promising, and we were thinking of bringing it up in large scale with institutional money. But in early 2010 my wife was diagnosed with brain cancer, and my heart wasn't in it. Life is too short. I didn't want to launch another major activity, so we gradually wound down the program.

So the program had worked well while you're using it.

Reasonably well. It wasn't as compelling as the Princeton Newport strategies or statistical arbitrage, but it would have been a good product, and it seemed to be better than most of the other trend-following programs out there that were managing a lot of money.

What kind of Sharpe ratio was your program running?

It was a little better than 1.0 annualized.

Since you are no longer using the strategy, can you talk about what modifications you made to improve a plain-vanilla trend-following approach? Was there something about your program that made it different from other trend-following approaches and that might explain why it did somewhat better?

We combined technical and fundamental information.

What kind of fundamental information?

The fundamental factors we took into account varied with the market sector. In metal and agricultural markets, the spread structure—whether a market is in backwardation or contango—can be important, as can the amount in storage relative to storage capacity. In markets like currencies, however, those types of factors are irrelevant.

Would it be accurate to describe your approach as combining technical trend-following rules with market specific fundamental filters that define favorable and unfavorable environments?

Yes.